The Biggest Loser of the Midterms? Data Centers

Podcast: Wall street journal

AI Executive Summary

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Summary of The Journal Podcast Episode: "Voters Said No to Data Centers"

Core Thesis

The episode discusses the impact of voter backlash against data centers on the AI industry, particularly in the context of the 2022 midterm elections. The main premise is that voters' concerns about data centers, including land use, water consumption, and noise pollution, have led to significant political opposition. This opposition has resulted in a slowdown in data center construction, which could limit AI companies' growth potential and computing capacity, potentially impacting the broader economy.

Key Arguments & Data

- **Voter Sentiment and Political Impact**:
- Voters in states like Texas, Kansas, Georgia, and Michigan voted for candidates critical of data centers.
- Over a dozen towns in Ohio voted to halt or restrict new data center developments.

- The election results were a "wake-up call" for AI companies, indicating that their efforts to assuage local concerns were not effective.

- **AI Companies' Response**:

- AI companies started trying to address local concerns by covering utility costs and stopping controversial practices like asking local governments to sign NDAs.

- However, these efforts were deemed insufficient by voters, who are now strongly against data centers regardless of company pledges.

- **Economic and Strategic Implications**:

- AI companies are now discussing potential resets on computing capacity expectations for 2027.
- The ability to scale compute capacity is crucial for AI companies to grow revenue, with potential impacts on companies like Anthropic, which is set to go public.

- The market reacted negatively to the potential slowdown, with shares in AI-related companies and chipmakers experiencing a significant sell-off.

- **Strategic Adjustments**:

- AI companies are exploring alternatives to traditional data center construction, such as retrofitting existing buildings and building

smaller, less intrusive data centers.
- There is a renewed push to build data center capacity abroad to hedge against potential moratoriums and slowdowns in the US.

- Elon Musk's suggestion of building data centers in space is considered, although it remains speculative.

- **Market and Economic Concerns**:

- A slowdown in AI data center construction could have broader economic implications, affecting industries reliant on AI growth.
- The upcoming IPO of Anthropic is seen as a key indicator of market sentiment, with potential disruptions impacting the stock market.

Actionable Takeaways

- **Investment Strategy**:
- Investors should consider diversifying their portfolios to include companies that can adapt to changing regulatory environments and geographic expansion.
- Companies that can innovate in smaller, more flexible data center solutions may offer better resilience.

- Companies with international presence or plans for global expansion may provide a hedge against domestic regulatory challenges.

- **Business Strategy**:

- AI companies should focus on developing more efficient use of existing infrastructure and exploring alternative locations for data centers.
- Companies should engage in proactive community relations and transparent communication to address local concerns.

- Diversifying revenue streams and exploring new business models that do not rely heavily on data center expansion can provide a buffer against potential slowdowns.

- **Policy and Regulatory Awareness**:

- Policymakers and regulators should consider the long-term implications of data center regulations on innovation and economic growth.
- Companies should stay informed about regulatory changes and be prepared to adapt their strategies accordingly.
- Collaboration between tech companies and local communities can help mitigate opposition and foster more sustainable growth. ```

Diarized Transcript

SPEAKER_03: Last Tuesday, as many Americans were watching election results roll in, some of Silicon Valley's rich and powerful were gathered at a very fancy event. On election night, tons of leaders in the AI industry went to the San Francisco Opera House. They were there to see Mozart's The Marriage of Figaro. Reporter Anissa Gardizi spoke to some of the invitees.

SPEAKER_01: From what I've heard, it was supposed to be a black tie event. So a lot of people who flew in or were planning to go rented tuxes and people were dressed to the nines. But I think last minute they decided not to do a black tie event. Guests snacked on hors d'oeuvres and sipped on wine. But eventually they got distracted. We know behind the scenes from people who were there that people were checking their phones.

SPEAKER_03: AI leaders were glued to their phones, watching election results pour in. They could see the blue tsunami building. And everywhere around the country, AI data centers were losing.

SPEAKER_01: What do these midterm results mean for AI companies? It was a big wake-up call for people that, you know, their efforts to kind of assuage concerns and keep things going were not really heard. And I think that the message was pretty clear. It's going to be tough for everyone to continue building now in America. Welcome to The Journal, our show about money, business, and power. I'm Ryan Knudson. It's Monday, November 9th.

SPEAKER_03: Coming up on the show, voters said no to data centers. What's that going to mean for AI? This year, one of the biggest political issues was data centers and how much people hate them. People are concerned that data centers could increase local power prices. People are concerned that data centers are going to suck up a lot of water.

SPEAKER_01: People are concerned that for all of maybe the tax breaks and benefits companies are getting, it's not translating into long-term stable jobs for residents. People are concerned about noise, depending on how

close the data center is to someone's house. Yeah, people also hate the way they look. I mean, they're changing the landscape of their communities. Like what used to be farmland is now this giant, you know, windowless box.

SPEAKER_03: Exactly. It's an eyesore, you know, and no one really chooses to live next to a data center. So it's kind of this ominous, mysterious building. Sensing this, many politicians, especially Democrats, made it central to their campaigns. And if data center companies can't meet our demands, they shouldn't be built in our communities.

SPEAKER_06: These data centers, they gobble up our land, they swallow up our water, they pollute. And right now what has happened is data centers have moved into mostly rural communities and there are no rules and laws to protect Texans. When AI companies realized the brewing backlash, they started trying to get ahead of it by changing tactics, by covering more of the utility costs for water and power.

SPEAKER_03: and stopping a controversial practice of asking local governments to sign NDAs before engaging in development talks. But the sense I get is that it was almost too late, and now people kind of, they don't care what companies are saying. They're just so against the idea of data centers that, you know, it doesn't matter that the companies are making these pledges. Heading into the midterms, did you hear anything from people who work at AI companies or data center companies? How were they feeling about what was on the ballot everywhere?

SPEAKER_01: I think everyone, you know, before the election was kind of thinking like, we'll see what happens. We think our projects are protected. I talked to a lot of people who said that their projects already permitted and they're already building. So if there's, you know, a moratorium on the ballot or something, they didn't feel like there was going to be an immediate impact. And so it was kind of just like a wait and see, but we think we'll be okay type thing. And that vibe has kind of changed post-election, honestly.

SPEAKER_03: Voters did two main things to data centers in the midterms. One was they voted for politicians who were critical of data centers in states

across the country, like Texas, Kansas, Georgia, and Michigan. And two, they voted on measures that would put a halt on new data center construction. For example, more than a dozen towns in Ohio voted to halt or restrict new developments of data centers.

SPEAKER_01: By the way, if you want to know more about how the data center issue got Republicans to vote for a Democrat in Ohio, check out our miniseries Red, White and Who. Anissa spoke to some AI companies that are now scrambling to figure out what to do if data center construction slows down. One thing we reported was that open AI leaders are discussing whether they might have to reset their expectations on computing capacity in 2027. And more broadly, I think that is the focus for a lot of people is 2027 and How many gigawatts did they expect they would be able to access? How many gigawatts are potentially at risk? And is there any contingency planning that they should be doing? Now, it's very hard to contingency plan for gigawatts of capacity. So people are trying to get creative, I think, and come up with a way to keep their plans on track. If AI companies can't keep building data centers, that could put a ceiling on their computing power. The AI labs, their business model, right now requires more compute to keep growing because as they sign on more users, they can't just use the compute that they already have to serve more users. That's being used by people already, basically. Exactly. It's being used by other people and just how compute-intensive this product is means that you have to scale compute at such a higher rate than maybe other types of traditional software businesses. But with AI and, you know, how much compute it takes to use Claude or ChatGPT, you actually do have to scale compute, at least right now, in an environment where things aren't efficient, very massively to keep growing users. But then also to stay at the cutting edge, these companies need to train new models constantly. OpenAI's models have a short shelf life because everyone's trading new models. Is it possible they could just charge customers more though and just make more money that way by increasing prices because they're not able to supply as many people? That is an option, but what we're seeing right now given the race between OpenAI and Anthropic is that they're actually discounting to win customers right now. giving things away for free in order to win market share. And so it's hard to imagine a world in which they'll start really charging more prices if they feel like they still need to compete on price

with their largest competitor. All this could mean it'll be harder for AI companies to grow revenue, which could be a big issue for a company like Anthropic, which is set to go public on the stock market later this month. We saw a little bit of this when Anthropic made its IPO paperwork public, but those companies ability to grow their revenue is directly tied to their ability to keep scaling their compute capacity. So if we see a slowdown in the data center build out, and that impacts OpenAI or Anthropic, they're not going to be able to grow their revenue as quickly. Or if they want to grow their revenue as quickly, they might have to scale back on other parts of their business. I mean, these are companies that are potentially worth trillions of dollars and are thought to be propping up much of the stock market. Could a slowdown in AI data center construction have a broader impact on the economy? I think that that is the concern. There are really large numbers here and lots of industries that are reliant on the AI boom continuing to happen at the pace it was happening. So I think a major slowdown could have a ripple effect. Like, even if you think about, like, Anthropic's upcoming IPO, where everyone is kind of watching that to see how are other IPOs going to fare. And so, if the slowdown causes a revenue disruption at Anthropic or they have to greatly change their plans, I do think there could be, you know, a broader economic issue and lots of companies that are tangential to this problem could see an impact. How AI companies are adjusting their plans?

SPEAKER_03: is next. In the days after the midterms, shares in companies tied to AI got slammed. The sell-off affected everything from chipmakers to companies that build and supply data centers. And it was so intense that it pulled down the NASDAQ as much as 5% before a bit of a rebound. Just the thought of there being a slowdown there is impacting chip companies, other kinds of picks and shovels, supply chain companies, the Neo clouds. So

SPEAKER_01: Yeah, the market is not reacting well to this. What can AI companies do or what are they planning on doing to try to overcome this giant speed bump that's been presented to them? I think that they will look for ways to find data center capacity that doesn't involve getting new permits or doing new construction. So maybe they're retrofitting a building that already exists and they're sort of turning it into a data center. Maybe

different kinds of data centers become attractive, like smaller data centers where the disruption isn't that big of a deal for a community and they aren't considered a large load or a very intrusive project. Maybe these companies will look for smaller data centers that are easier to get going through the moratorium.

SPEAKER_03: The people I talk to are saying that they're trying to get creative, so we'll see what that means. In our final segment, we have another major player in the AI space. The day after the election, at a Wall Street Journal tech conference, Meta president Dina Powell McCormick talked about how Meta could get creative in this new environment. She was interviewed by Wall Street Journal editor-in-chief Emma Tucker.

SPEAKER_05: There were 33 or 40 ballots on restricting data centers past. You know, I do. I think there's going to be a lot more review and there's going to be a lot more focus on do the constituents of these communities want these data centers? She was pretty candid. She said that it is going to be harder after the midterms to build data centers. To start new data projects, to start new data center buildouts today in the United States, very challenging. Despite the gloomy outlook, Powell-McCormick suggested that at least one politician who ran opposing data centers may be willing to negotiate. But one of the biggest ideas that Powell-McCormick talked about was building data centers abroad. I can also tell you that every hyperscaler is now thinking about, you know, do we need to build outside the United States? Because they're enormous investments and hedging those investments is a wise thing to do. So I think there's going to be a renewed push to get some data center capacity out of the US so that companies aren't stymied by pauses and moratoriums.

SPEAKER_01: And Elon Musk posted on X that building data centers in space is starting to look pretty good right now, which is something he actually wants to do. Yes, I feel like I could have predicted he would say that, or anyone with the ability to, or the desire and somewhat ability to maybe launch things into space would be pretty happy right now. Although I will say that I think broadly, there is some sentiment within the tech companies of maybe the slowdown is actually good, maybe

SPEAKER_03: will be a little bit more rational about decisions. Everyone has been at this breakneck pace to build and obtain capacity. And they're definitely doing it ahead of that revenue coming in. Right. But every AI company is spending as much as they possibly can because they're in an arms race and nobody wants to stop on their own because they don't want to get left behind. But this is maybe something that could force everybody to stop together.

SPEAKER_01: Yes, that could be them also coping with the situation. But I think I do think that that is true that there might be some sort of relief if you're the CFO of one of these companies and all of a sudden you have to slow down a little bit. I think some people might think that's a little responsible or, you know, isn't the worst thing in the world. It's interesting to me how there's been so much backlash against tech in the last few years, but this is like the first chance Americans have had to express those frustrations at the ballot box. Yeah, I mean it is it is pretty crazy I think the fact that data centers are a physical embodiment of building AI and using AI data centers have become so tied to politics because the way you get these things going is by getting permits and maybe tax breaks. And so, like, inherently, the data center build out, you know, has a direct relation to politics. And it's also something that people feel super passionate about. By the way, our Journal Live show in Dallas is tonight. If you're in the area, we just added a couple more tickets. Come on by.

SPEAKER_03: And if you've got a ticket, I'm looking forward to seeing you there. That's all for today. Monday, November 9th. The Journal is a co-production of Spotify and The Wall Street Journal. Additional reporting in this episode by Will Parker and Amrit Ramkumar. Thanks for listening. See you tomorrow.